

by Morningstar. Scott Schoelzel, another Janus portfolio manager, was named Manager of the Year by *Mutual Fund Magazine* in 1998. That same year the magazine rated Janus “Family of the Year.” Janus was the envy of every active mutual fund company. Even President Bill Clinton had part of his IRA in a Janus fund.<sup>2</sup>

One of the most famous funds was Janus Twenty, designed to invest in only twenty to thirty stocks selected for their growth potential. Panel A of Figure 16.1 graphs Janus Twenty’s assets under management (AUM) and returns. From January 1995 to December 1999, the fund’s AUM mushroomed from \$2.5 billion to \$36.9 billion. Thanks to the Internet boom, returns averaged 40% per year. Then in 2000, Internet growth stocks crashed. Janus Twenty was hit harder than most funds with its concentrated growth positions, and it returned –32.4% in 2000. Despite this terrible performance, Janus Twenty’s AUM was approximately flat at around \$35 billion—money continued to flow into the fund based on the high returns generated over the *previous* year. Only in 2001 did the fund record significant negative outflows, and the fund’s AUM leveled out after 2003 at approximately \$10 billion, a third of its peak size.

Nearly all of Janus’s funds were like the Janus Twenty and owned large positions in the same booming growth companies, including Cisco, Nokia, Sun Microsystems, and America Online. Panel B of Figure 16.1 shows that the firm’s AUM rose from \$50.3 billion at December 1996 to a peak of \$257.8 billion at December 1999.<sup>3</sup> Despite the crash of Internet stocks in 2000, the firm’s AUM at December 2000 increased slightly, to \$257.8 billion, as investors continued to pile in. Investors chased *past* returns even though current returns were lousy. Only in the following year did Janus experience outflows.

In 2001, Enron Corp., an energy company that claimed it was generating high earnings but really was engaged in an elaborate accounting fraud, blew up. Janus’s funds owned more than 5% of Enron. In 2002, Janus was also the largest shareholder in Tyco International in 2002, whose share price plunged when it was hit by a corporate scandal. Tyco executives Chairman and CEO Dennis Kozlowski and CFO Mark Swartz were eventually sent to prison for stealing money.

In 2003, Janus was caught up in a Securities and Exchange Commission (SEC) investigation into market timing. Janus had allowed favored clients to trade more frequently and ahead of other investors, generating profits for themselves while raising the cost burden on other investors in the funds.<sup>4</sup> Janus paid \$262 million in fines to settle the charges.

Despite these travails, Janus never posted a loss. In fact, its operating profit margins (the ratio of operating income to revenue) never fell below 10%, as shown in Panel B of Figure 16.1 (During the peak years of the late 1990s, Janus

<sup>2</sup> Elkind, P., “The Hidden Face of Janus,” *Fortune*, Jan 22, 2001.

<sup>3</sup> Data in Figure 16.1 are from 10-K filings of Stilwell Financial and Janus Capital Group.

<sup>4</sup> Janus was one of several mutual fund companies that engaged in this odious practice. It was uncovered by Eric Zitzewitz (2006), a professor at Dartmouth College.